

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

National Pension Scheme (NPS)

The National Pension System (NPS) is a contribution based pension system launched by the Government of India with effect from 1 January 2004. Like most other developing countries, India did not have a universal social security system to protect the elderly against economic deprivation. As a first step towards instituting pension reforms, the Government of India moved from a 'defined-benefit' pension to a 'defined-contribution' pension system. Apart from offering a wide gamut of investment options to employees, this scheme helps the Government of India reduce its pension liabilities. Unlike the previous pension fund of the Government of India that offered assured benefits, NPS has defined contribution and individuals can decide where to invest their money.

Just like EPF or VPF, the contribution made in NPS can only be used post retirement or financial freedom. NPS offers certain distinct advantages over traditional 'retiral' investments like PPF and EPF, but also has its own share of demerits.

Advantages of NPS

1. It is one of the safest avenues for creating monthly pension for yourself.
2. This is a risk free, government backed investment.